

Case Study: InnovateCorp's Cross-Vertical Transformation Background

InnovateCorp, a global leader in technology solutions, is undergoing a major transformation to address multiple internal and external challenges:

- **Outdated digital systems** lead to inefficiency.
- **High employee turnover** and **low engagement** in key roles.
- **Poor cross-departmental collaboration** causes slow decision-making.
- **Decreasing customer satisfaction** due to inconsistent service delivery.

To drive this transformation, the CEO has tasked three key teams—**Digital Transformation (DT)**, **General Management Program (GMP)**, and **HR Analytics**—with creating an integrated strategy. This strategy must improve operational efficiency, enhance employee engagement, foster cross-functional collaboration, and improve customer experience.

New Challenges

During the transformation process, InnovateCorp faces **unexpected obstacles**:

1. **Budget Cuts:** Due to unforeseen economic pressures, the budget for the transformation project has been reduced by 20%.
2. **Key Talent Loss:** A top technical leader in the company resigns, further affecting turnover and leadership stability.
3. **Customer Frustration:** Early system upgrades have caused several outages, leading to customer dissatisfaction and the potential loss of 10% of key accounts if issues aren't resolved quickly.

Task for Cross-Vertical Teams

The goal is to develop a holistic transformation strategy while dealing with both **existing** and **new** challenges. Students from the Digital Transformation, General Management, and HR Analytics verticals must collaborate to create three interconnected **SMART goals** for InnovateCorp.

Each team must:

- Tackle the core transformation issues (outdated processes, poor engagement, and collaboration challenges).
- Adjust their approach to account for the budget cuts, talent loss, and customer backlash.
- Align their SMART goals across all three verticals to ensure an integrated solution.

Roles and Focus Areas with Added Complexity

1. Digital Transformation (DT) Focus:

- **Problem:** Outdated technology and fragmented systems slow down operations and affect customer experience. However, due to recent **budget cuts**, the digital transformation needs to be cost-effective. There are also **system outages**, resulting in increased customer complaints.
- **SMART Goal:** The DT team must create a goal that improves operational efficiency using cost-effective digital tools while minimizing customer disruptions.

2. Example SMART Goal:

"Deploy an AI-driven automation system in two key departments over the next 6 months, reducing operational costs by 15%, while reducing customer-related system outages by 30%."

3. General Management Program (GMP) Focus:

- **Problem:** InnovateCorp's departments work in silos, causing inefficiencies in communication and decision-making. This challenge has been worsened by the **resignation of a key leader**, affecting leadership continuity. Customer dissatisfaction is growing as well.
- **SMART Goal:** The GMP team will focus on leadership stabilization, improving collaboration, and addressing customer service challenges.

4. Example SMART Goal:

"Establish a cross-functional leadership committee within 3 months to manage key decision-making, improve collaboration by 20%, and increase customer satisfaction scores by 10% within 6 months."

5. HR Analytics Focus:

- **Problem:** High employee turnover, especially in technical roles, is a growing concern. With the **loss of a key technical leader**, retaining top talent is more critical than ever. The HR team also faces **budget restrictions**, limiting resources for retention efforts.
- **SMART Goal:** The HR Analytics team must develop data-driven initiatives to retain talent within the new budget constraints and address talent loss.

6. Example SMART Goal:

"Reduce turnover in technical roles by 12% within 9 months through targeted engagement strategies, including personalized development programs and mentorship, while maintaining a 10% reduction in the HR budget."

Activity Instructions for Cross-Vertical Teams

1. Form Cross-Vertical Teams:

- Each team should include students from DT, GMP, and HR Analytics.

2. Analyze the Case:

- Teams should evaluate how the budget cuts, talent loss, and customer dissatisfaction impact each vertical's area of focus.
- Discuss how improvements in one area (e.g., DT's cost-effective digital solutions) can support the other areas (e.g., improving customer experience and retaining talent).

3. Develop SMART Goals:

- Teams should develop three SMART goals (one for each vertical: DT, GMP, and HR Analytics) that align with InnovateCorp's broader transformation objectives.
- Goals should address the **core transformation issues** and the **new challenges**, using the SMART framework (Specific, Measurable, Achievable, Relevant, Time-bound).

4. Align the Goals:

- Ensure that the SMART goals across the three verticals are **interconnected**. For example:
 - How will DT's digital tools reduce customer service disruptions, and how can GMP support smoother leadership transitions to improve service delivery?
 - How can HR Analytics reduce employee turnover, ensuring a more stable workforce for the digital and management teams?

Example of Aligned SMART Goals (with Complex Challenges)

- **Digital Transformation SMART Goal:**
"Deploy an AI-driven automation system in two key departments over the next 6 months, reducing operational costs by 15% and minimizing customer-facing system outages by 30%."
- **General Management SMART Goal:**
"Establish a cross-functional leadership committee within 3 months to manage critical decisions and improve collaboration by 20%, resulting in a 10% improvement in customer satisfaction within 6 months."
- **HR Analytics SMART Goal:**
"Reduce turnover in technical roles by 12% within 9 months by implementing targeted retention strategies, including career development programs, while operating within a 10% reduction in the HR budget."